P2JW287000-5-A00100-16DDF61078D

THE WALL STREET JOURNAL.

DOW JONES | News Corp ★★★★★ WEDNESDAY, OCTOBER 14, 2026 ~ VOL. CCLXXXVIII NO. 89 WSJ.com ★★★★ $5.00

DJIA 51670.10 ▼ 180.45 0.35% | NASDAQ 27204.38 ▼ 0.2% | STOXX 600 635.01 ▼ 0.1% | 10-YR. TREAS. ▲ 7/32, yield 5.216% | OIL $94.14 ▲ $0.40 | GOLD $4,152.90 ▼ $12.90 | EURO $1.1199 | YEN 158.31

What's News

Business & Finance

◆ **Big banks continue** to enjoy higher profits on the strength of a resilient U.S. economy and volatile markets that have led to a surge in trading, but they warn that rising interest rates could hurt their outlook. Major U.S. stock indexes edged lower after some of the biggest lenders reported results, with the S&P 500, Dow and Nasdaq off 0.02%, 0.4% and 0.2%, respectively. **A1**

◆ **Regulators fined** Bank of America $1.2 billion after finding that it had insufficient systems to monitor and report possible financial crimes. **B1**

◆ **UnitedHealth Group** reported earnings that came in above analysts' expectations and again raised its projection for the year. **B2**

◆ **Johnson & Johnson** was leaning toward spinning out the hips-and-knees business that the company has been looking to hive off, J&J's chief financial officer said. **B2**

◆ **A Saudi national** who worked at OpenAI as an engineer was arrested and charged with hiding an encrypted recording device at a company office in San Francisco. **B3**

◆ **Stellantis reported** an estimated overall 1% decrease in third-quarter vehicle shipments despite growth in European electric-vehicle shipments. **B3**

◆ **Domino's Pizza sales** growth continued to slow during the third quarter even as the company logged a rise in profit from a year earlier and a gain in revenue. **B3**

◆ **Albertsons Executive Chair** Meg Whitman said of the struggling grocery-store chain that "everything should be on the table" as the company determines how it should be structured. **B4**

Worldwide

◆ **Kimberly Guilfoyle** resigned as U.S. ambassador to Greece after the White House asked her to step down following reporting from The Wall Street Journal that she had solicited $100,000 from a Trump donor in the run-up to her confirmation hearing last year. **A1**

◆ **Pope Leo XIV was** diagnosed with lung cancer, the Vatican said, following a procedure that removed part of the 71-year-old American pontiff's right lung. **A7**

◆ **Drones struck two** commercial ships sailing just outside Bulgaria's territorial waters, posing a fresh test for NATO as the Western alliance confronts more suspected Russian attacks at its land and sea borders. **A7**

◆ **The U.K.'s** domestic-intelligence agency is devoting more resources to countering state threats than during the Cold War, as Britain looks to fend off escalating hybrid attacks from Iran and Russia. **A7**

◆ **Trump's new press** secretary made a rocky debut behind the lectern, raising questions among some administration allies about whether she was ready for the role. **A3**

◆ **A former Crips** gang leader was sentenced to 40 years to life in prison for masterminding the drive-by shooting that killed hip-hop artist Tupac Shakur in 1996. **A3**

◆ **Theme-park operator** Six Flags closed multiple rides after a man died and several other people were injured on one of its roller coasters in Georgia. **A3**

◆ **Regulators asked** a judge to hold Martin Shkreli in contempt, saying he has traded drug stocks on YouTube for years in violation of a lifetime ban from the industry. **A3**

CONTENTS

Arts in Review..... A13
Business & Finance B2,5,7
Business News..... B3
Crossword..... A12
From Page One.. A10
Heard on Street B13-14
Opinion..... A15-17
Personal Journal A11-12
Property Report.... B6
Sports..... A14
Technology..... B4
U.S. News..... A2-4,6
World News..... A7-9

© 2026 Dow Jones & Company, Inc. All Rights Reserved

Pope Leo Is Diagnosed With Cancer After Surgery



GUGLIELMO MANGIAPANE/REUTERS

PASTORAL CARE: Pope Leo XIV arrives for surgery Tuesday at Gemelli hospital in Rome. The 71-year-old American pontiff had a portion of his right lung removed and the Vatican said he has been diagnosed with a common type of lung cancer. **A7**

Trump's Ambassador to Greece Resigns Amid Graft Allegations

Move follows WSJ report that Guilfoyle asked a presidential donor for $100,000

*By **Drew Hinshaw, Rebecca Ballhaus, Vera Bergengruen** and **Josh Dawsey***

Kimberly Guilfoyle resigned as U.S. ambassador to Greece after the White House asked her to step down following reporting from The Wall Street Journal that she had solicited $100,000 from a Trump donor in the run-up to her confirmation hearing last year.

Guilfoyle wrote in a post on X that serving as ambassador "has been the honor of a lifetime." She also pushed back on the recent allegations against her. "These allegations are false, and I intend to vigorously defend my name, my reputation and my integrity," she wrote.

"While my time as Ambassador may be coming to an end, my commitment to President Trump, the America First movement, and the country I love will never end," Guilfoyle wrote.

Guilfoyle's social-media post came shortly after White House press secretary Katie Zacharia said the White House had asked for her resignation.

When asked about Guilfoyle on Tuesday, President Trump said that he didn't like what he had read about her and hadn't spoken with her. "She wasn't a member of my family. She, I guess, dated my son a long time ago," Trump said. Guilfoyle was previously engaged to Donald Trump Jr., the president's eldest son.

"She went to Greece, she was doing a good job, but we didn't like what we were reading," Trump said.

The Journal reported last week that Guilfoyle had sought a $100,000 payment to her American Express account days before her confirmation hearing. While soliciting the payment from Eric Deters, a Trump donor and a former congressional candidate, Guilfoyle had touted her connections to the Trump administration and sought to lobby the Internal Revenue Service and Justice Department on his behalf, according to text messages viewed by the Journal.

She promised to be his "Trump ride or die, forever and ever" if Deters came up

Please turn to page A4

Rates Threaten To Spoil The Party For Banks

Goldman, JPMorgan post higher profits, but Wall Street's mood is cautious

By Ben Glickman And Jasmine Li

Big banks are still raking in higher profits on the strength of a resilient U.S. economy and volatile markets that have led to a surge in trading. But they warned rising interest rates could spoil their fun.

JPMorgan Chase, Goldman Sachs, Citigroup and Wells Fargo on Tuesday each reported higher third-quarter profit and revenue from a year earlier, in part because of the near-endless need for financing related to the artificial-intelligence boom, volatile equity markets and continued strength in consumer spending. Four of the six biggest banks posted a combined profit of $32 billion, up 14% from a year earlier. Revenue across all four increased 9% to $115 billion.

But the bond-market turbulence last month seeped into results as the banks each posted weaker-than-expected revenue from their businesses trading bonds on behalf of clients, and dealmaking slowed more than they anticipated. In a somewhat rare occurrence, JPMorgan missed analysts' expectations.

The nation's largest bank reported a profit of $15.31 billion, or $5.57 a share. Analysts expected per-share earnings of $5.93. Revenue rose 8% to $50.17 billion, falling short of the $51.23 billion expected by analysts. The results were hit by a $658 million loss on invest-

Please turn to page A2

◆ **Bank of America fined $1.2 billion over violations..... B1**

Beverly Hills Condo Borrows From Its Buyers

By Nicholas G. Miller

The developer behind one of the country's most expensive real-estate projects has an unusual request for its condo buyers: Lend us money.

Purchasers of the site's roughly 150 condo units are also providing debt to help Cain, an investment firm based in London, fund its $10 billion project, known as One Beverly Hills.

The 17.5 acre site, set to be completed in 2029, will include high-end retail such as Dolce & Gabbana, upscale dining, 78 new hotel suites and acres of botanical gardens.

The ultraluxury condos will be operated by Aman, one of the world's leading high-end hotel operators.

The condo owners' debt takes the form of a bond—the developers call them Founder Bonds—and buyers will receive a return of 5%, according to a person familiar with the matter.

No condo buyers are forced to participate in the bond program. Founder Bonds offer a financial return and the opportunity to assist in the construction of their future home, Cain has told condo buyers.

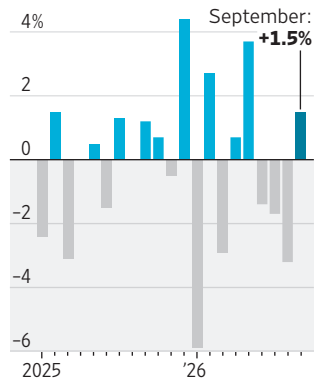
When the Founder Bond program was launched early last year, 10-year Treasury debt offered less than 5% returns. In recent weeks, however, the 10-year yield has exceeded that level, rising above 5.3% at one point this month.

Please turn to page A4

Home Sales See Increase

It was the first rise since spring and reflects a summer plateau in mortgage rates. **A2**

U.S. existing-home sales, change from previous month



Note: Seasonally adjusted at an annual rate. September 2026 is preliminary.
Source: National Association of Realtors

China's Weakening Economy Is Creating a Lost Generation

Young people are losing faith in the promise of hard work

By Hannah Miao

DALI, China—For months, Ma Yongjian didn't tell his parents where he was.

Halfway through a master's degree in computer science, the 27-year-old stopped going to class last year. Software engineering used to be a safe career choice, but the rise of artificial intelligence and a wave of layoffs at Chinese tech companies left Ma convinced he wouldn't be able to land a good job. He no longer saw the point of studying.

When his roommates left their dorm each morning, Ma would wander Beijing, sitting in parks and looking at stray cats. Earlier this year, he escaped to Dali, a magnet for drifters in China's Yunnan province known for its scenic mountains and slow pace of life.

His parents thought he was still in grad school. He didn't want to worry them.

"Before, everyone expected life would keep getting better, your income would keep growing. Now, it's different," said Ma. "When you look at the future, there isn't much hope."

A generation born during China's boom years is now entering adulthood with dwindling opportunities, fiercer competition and a growing sense of despondency that years of hard work have left them no better off than their parents—and, for some, back living with them. Steady jobs are hard to get, pushing mil-

Please turn to page A10

◆ **China rejects wealthy-nation status..... A9**

The Mystery of the Sailor Shaking Up the Navy

* * *

President says 'catapulter' named Bill Jones convinced him to overhaul aircraft carriers

By Marcus Weisgerber

In August, President Trump directed the Navy to figure out how to return to using steam catapults on aircraft carriers to hurl fighter jets into the air.

For U.S. military officials, the order marked the return of an old foe: Bill Jones.

Who?

Exactly. Trump has described the man as a "catapulter" who served in the Navy for 25 years and loves the smell of steam. Jones convinced Trump the old technology was superior to modern methods of launching jets, the president said.

The incident sent Navy leaders searching for Jones to figure out what he said that prompted the president to demand an overhaul of one of the most expensive weapons programs in history. They never found him, according to defense officials.

But they're still dealing with the consequences of the mystery sailor and his chance encounter with the president.

It all started just months into Trump's first term when he was in Virginia touring the USS Gerald R. Ford, the newest aircraft carrier in the Navy's fleet.

This warship, the largest in

Please turn to page A6

Car-Free Oasis Drives San Francisco Backlash

By Jim Carlton

SAN FRANCISCO—Judi Gorski's home overlooks one of this city's newest and most spectacular attractions: a 2-mile, car-free stretch of coastal highway where visitors bike, skateboard and stroll against a backdrop of crashing waves.

She refuses to set foot on it.

Gorski is among those fuming since voters permanently closed most of Upper Great Highway to cars, creating what became Sunset Dunes park last year. The move pushed as many as 20,000 vehicles a day onto alternate routes, including Gorski's street.

"I'm so angry about it," said the 75-year-old retired owner of a small art business on a recent sun-splashed day. "I mean, my street has become a major artery."

Frustration on San Francisco's West Side runs deep enough that there is now a new measure, Proposition G, on the Nov. 3 ballot. If passed, it would restore vehicles to the stretch on weekdays.

The campaign has turned fierce, featuring money from wealthy San Franciscans, social-media vitriol and yellow "Yes on G" and green "No on G" fliers plastered citywide. Jeremy Stoppelman, CEO of Yelp, has bankrolled about half of the $800,000 raised for No on G; the Yes side has raised about $130,000.

Opponents of Proposition G argue that returning cars would mean an almost unthinkable loss of one of the most distinctive promenades in the U.S.,

Please turn to page A10